University of Northern British Columbia

Income Inequality in Canada

Daniel Jenniss & Amneet Toor

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Dr. Muhebullah Karimzada

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Introduction

As we learned in class, "income inequality refers to the unequal distribution of income among individuals or households within a country" (Lecture 7). The literature concerning income inequality in Canada is exhaustive and, while there is controversy regarding the specific magnitude and duration of the increase, there seems to be a consensus (e.g. Burkinshaw et al.; Osberg; Özer; Stats Canada; Xuereb et al.) that income inequality has increased in the early 1980s, as a result of the extra income created during this time being disproportionately captured by the top earners of the income distribution. Data has shown the rise in income inequality coincides with the increasing popularity of Western governments adopting neoliberal economic policies. This is concerning because rising income inequality brings with it many negative consequences for the economy, such as dampening economic growth (Berg & Ostry 11; Burkinshaw et al. 1; Keefer & Knack 144; Polacko 345), social unrest (Polacko 352), as well as worse health (Loverock) and education outcomes (Berg & Ostry 10). By examining the specific factors behind the increase in income inequality and its consequences in more detail, one can better understand the development of the Canadian economic landscape, and which measures the government can take to improve economic outcomes for all Canadians.

Literature Review

First, let's examine the main drivers of income inequality in more detail. Inquiries performed by academic scholars (e.g. Polacko; Xuereb et al.) as well as the Bank of Canada itself (Burkinshaw et al.) come to several common conclusions that explain the increased level of income inequality in Canada, including the effects of the globalization, technological change, monetary and fiscal policies, disproportionate growth in corporate executive compensation compared to workers', and the decline of unionized collective bargaining activity across the country.

Interestingly, the effects of globalization and technological change seem to be interconnected. As the global economy became more interconnected, and technological innovations drastically reduced the costs of accessing resources (including labour) in other countries, corporations were able to outsource low-skilled labour positions to regions with lower demand for wages (Polacko 342). This has enabled developed economies to transition away from low-skilled labour towards placing a higher emphasis on capital and training skilled workers who can use this capital effectively in production. Indeed, increases in income generated by capital coincides with the beginning of the current trend of increased inequality that started in the early 1980s, peaking in 2006 (Xuereb et al. 19). Moreover, while technological progress has led to an increase in demand for skilled labour, whose productivity is augmented by said tech improvement, at the cost of lower-income jobs that were primarily filled by middle and lower-class individuals (Burkinshaw et al. 19-20), it's effects is not entirely destructive for unskilled labour positions. It is also responsible for a large number of job creation in the unskilled sector as well. This is perhaps best exemplified in the increased prevalence of technology-related gig work (i.e. self-employment enabled through ride-sharing and food-delivery services). Research performed by the OECD estimates that increases in work of this type is responsible for "60% of all job creation" since the 1990s, and that the poor are more likely to be those accepting these positions (Brown in Polacko 344). Furthermore, these gig work positions are often part-time and do not have the perks of healthcare benefits (Polacko 344), further marginalizing those who rely on this type of work.

The diverging effects of globalization and technological change for skilled and unskilled labour are a significant driver of income inequality and are largely related to inequality of education. Many of the positions that have benefited from technological improvements require higher levels of educational attainment, which is less accessible to those families on the lower end of the income distribution, as they are less able to invest in their education (Berg & Ostry 9; Burkinshaw 21; OECD 4).

The effects of educational barriers to high-income positions, which contributes to income inequality can specifically be seen in the growing income gap between corporate executives and their workers, which in of itself is related to another driving factor behind rising income inequality – the decline of unionized collective bargaining activity across the country (Burkinshaw 22-3). Matthew Polacko estimates that, in the United States, executives' pay has grown almost tenfold compared to their workers since 1980 (345), and the Bank of Canada has observed a similar divergence in income in Canada, coinciding with the start of the inequality trend in Canada as well as the decline in collective bargaining across Canada (Burkinshaw 21).

Analysis

The volumes of research and data regarding income inequality and its implications for people's lives lead to many interesting conclusions. To retain brevity, the following will discuss the conclusions drawn from a relatively limited number of sources.

Over the past several decades, income inequality in Canada has steadily increased, raising concerns about its long-term economic implications. The Gini coefficient, a measure of income inequality, shows an upward trend indicating big differences between high-income people and the rest of the population (Burkinshaw, Terajima et al 18). A 2025 study concluded that the Gini indicator has increased 15% since 1981 (Özer 476). Analyzing income shares over time shows that the top 1% of earners have seen a significant increase in their share of income, while the middle class has not experienced any wage growth (Lemieux and Riddell 829). Also, wealth is mostly owned by the richest households, making income inequality worse over generations. (Osberg 72). Indeed, data published by Statistics Canada also indicated that nearly all of the after-tax income growth since 1982 has been concentrated within the top 10% of earners, with the top 1% of earners having been estimated to get nearly 70% richer and the bottom 50% having lost shares in the income distribution (Statistics Canada *High Income Tax Filers*). While there has been significant economic growth since 1982, increasing absolute levels of income for many individuals, research suggests that the shape of the income distribution, rather than absolute levels, are the significant driver in individuals' well-being (Özer). Understanding these drivers will be fundamental in fully understanding the effects of high income inequality.

One of the key factors contributing to the disparities in income growth in Canada is the change in marginal tax rates since the 1980s. Over the past few decades, tax policies have undergone significant changes, often favoring high-income earners through reductions in top marginal tax rates (Laurin and Milligan 9). These changes have reduced the redistribution of income through tax-funded social welfare programs, contributing to widening the income gap.

Another factor contributing to inequality is that the wages have not kept up with the rising costs of living. While wages have risen, it has not increased as fast as to match inflation, housing prices, and other essentials. Initiatives aimed at increasing affordable housing options alleviate financial strain on lower-income households. This has reduced workers' buying power, making it harder for them to afford their usual standard of living.

Rising education costs further worsen inequality, as higher tuition fees, and student debts make it harder for people to improve their socioeconomic status (Usher 61). Accounting for inflation, tuition fees more than doubled between 1990 and 2016 and the national average student debt was $26,300 with the total debt estimated at over $28 billion (Burley 1-4). With this considered, is it not surprising that income inequality has increased since the 1980s, as a significant contributing factor to social mobility (Özer 477) becomes increasingly unattainable for those in the lower end of the income distribution. Social investments in making post-secondary education would enhance social mobility, alleviating the burden of income inequality.

The negative externalities of increasing levels of income inequality are not limited to simply making life more expensive. It also has many hard-to-quantify effects on society. For example, a 2024 study by Alexandra Loverock et al. found that deaths of despair (e.g. suicide, drug overdose, liver disease) were higher among lower-income groups. Connecting higher levels of stress, lower levels of stress-mitigating behaviour, as well as decreased access to (mental) healthcare services amongst these groups, she advocates for investments in providing increased support programs in lower-income areas to help prevent deaths of despair.

Another study found that higher levels of income inequality also depresses economic growth and contributes to political polarization. Identifying that the opposing social interests between the rich and poor have been studied for at least hundreds of years, Philip Keefer and Stephen Knack (146) posit that as inequality increases, these interests become increasingly mutually exclusive. As a result, legislatures can become increasingly slow to respond to negative economic shocks, making their effects even worse. Moreover, increased inequality can decrease investor market confidence, as they hedge against the risk that governments redistribute their wealth through increased taxes or similar policies. Thus, safer investments with less growth potential become more favoured, depressing economic growth (144-6).

Policy Recommendations

Government policies are essential in addressing income inequality through taxation, social programs, and labor market regulations. Progressive taxation ensures that high-income earners contribute a fairer share to public revenues, although debates continue over whether current tax rates are sufficient to counteract inequality (OECD 34). The increased income inequality in Canada, as well as across much of the Western world, has been observed by many scholars to be a result of the 1980s global shift towards a neoliberal policy regime (e.g. Osberg 12; Polacko 342; Zhu 1861). Neoliberal policy has often been constituted by researchers to include policies that perhaps aggressively promote “liberalization, privatization, modest government or deregulation, [and] globalization” (Rutar 300), along with cuts in social welfare programs (Osberg 7-13). Lars Osberg argues that these policies primarily benefit the rich by comparing the contemporaneous increased income inequality, under the neoliberal regime with the relatively low inequality during the preceding era, when governments largely operated under a Keynesian paradigm, in which there was a much larger marginal tax rate, but greater social safety nets (1-10). He also attributes the contemporary rising political populism with the depressing effects of neoliberal policies, and advocates for a reversal of the 1980s policy regime shift. On the contrary, Tibor Rutar claims that the scholars have been too quick to come to a consensus that neoliberal policy regimes are responsible for increased inequality and rising populism across the globe, arguing that there is little evidence to support the notion. Not discounting previous scholars’ work entirely, he argues that “neoliberalism’s social impact has been more nuanced than suggested by prevailing discourse" and argues that, while neoliberalism "fraught with severe problems", it cannot be entirely to blame for the growing inequality in national and international contexts, as evidence shows that some regions (e.g. Latin America) have not had income inequality substantially rise after adopting neoliberal economic policies (317). Rutar's logic may, however, be flawed, as it assumes that neoliberal policies have the same effect in poor-middle income countries as in the developed Western world.

Conclusion

After examining the driving factors and consequences behind contemporary income inequality in Canada, it is not hard to see why it is important for the common citizen to be acquainted with the research. The data has shown that a disproportionate share of the benefits of contemporary economic growth has been consolidated within a small portion of society. As a consequence, there has been an increasing degree of serious areas of concern in society. By familiarizing oneself with this knowledge, one can better understand not only the contemporary economic landscape but also how we can do better to improve it. The controversial discourse regarding neoliberal policies regarding whether or not they are to blame for contemporary increases in income inequality is moot. What is important is the acceptance of the fact that contemporary policy regimes are not beneficial for the majority of developed nations' citizens, and primarily benefit the rich. With this in mind, a policy shift is recommended; whether it be a transition back to Keynesian economics, or a new economic paradigm, in which every citizen can benefit from economic growth.

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